

Market-Neutral Alpha in Crypto Perpetual Futures: Ranking Each Asset Against Itself

Dhanya MD · August 2026

KEY TAKEAWAYS

1. Crypto contracts have no shared fundamentals, so ranking them against each other compares numbers that do not mean the same thing. Ranking each contract against its own history instead raises average factor Sharpe from 1.01 to 1.45.
2. Funding is not a cost adjustment in perpetual futures. It is a return driver worth 40% to 266% of each factor's performance, so a price-only backtest understates results rather than flattering them.
3. Holding one portfolio per factor and blending the returns beats blending signals into a single composite score by 0.67 Sharpe, with both constructions tuned over the same 1,286-configuration grid.